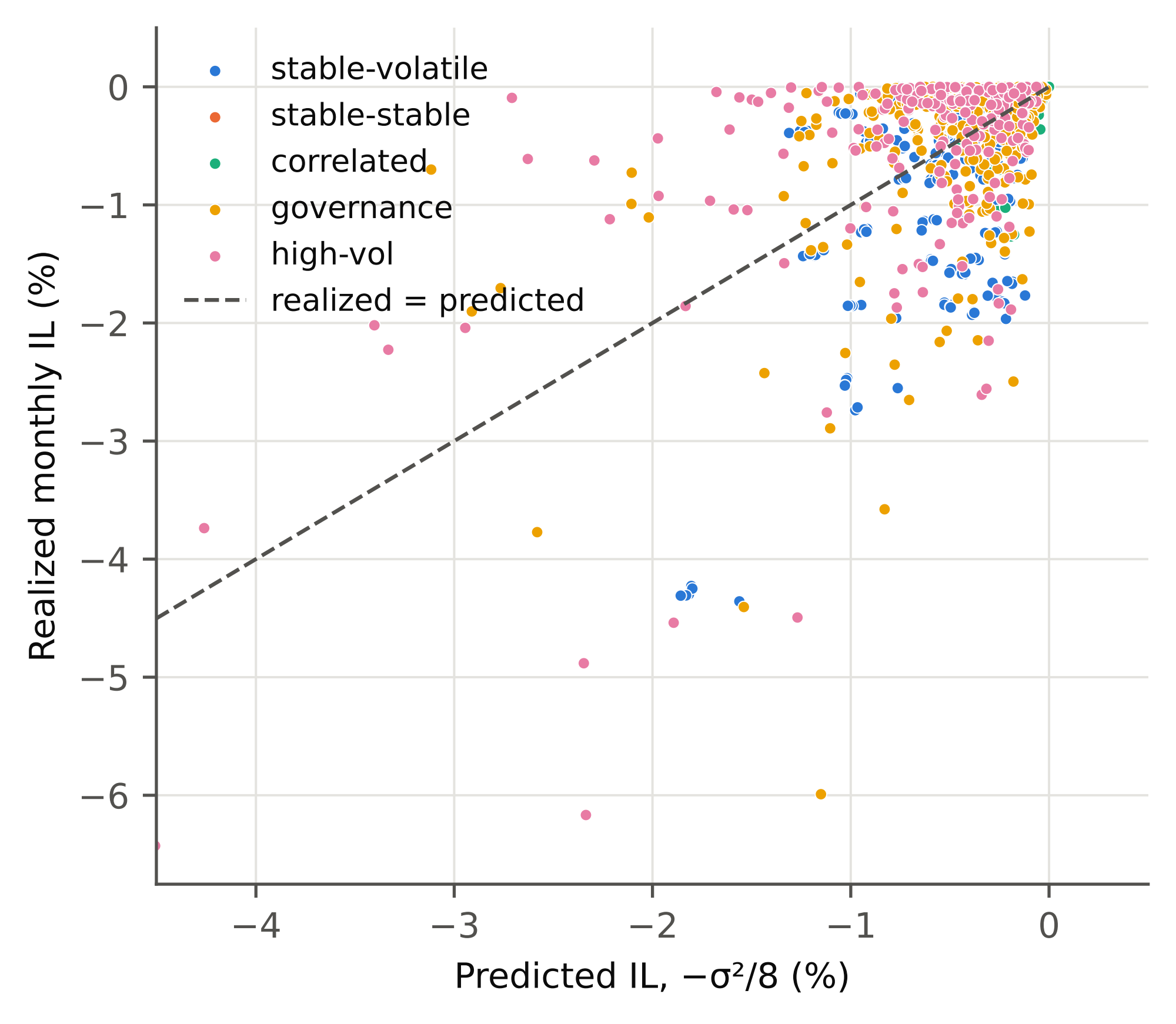
stable-volatile
stable-stable
correlated
governance
high-vol
realized = predicted
Realized monthly IL (%)
Predicted IL, −σ²/8 (%)
0
−1
−2
−3
−4
−5
−6
−4
−3
−2
−1
0